NYU

Thomas J Sargent <ts43@nyu.edu>

RE: RMT5 and HLT

1 message

Lars Ljungqvist <Lars.Ljungqvist@hhs.se> Wed, Jan 9, 2019 at 4:59 PM
To: "thomas.sargent@nyu.edu" <thomas.sargent@nyu.edu>

Dear Tom,

Yes, I also believe that New Keynesian or 'DSGE' models would be the most worthwhile addition to RMT5, and fully agree on the goal "to convey some insights and concise presentations not present yet" in the literature – actually, a most succinct characterization of our RMT pedagogical project.

Our first challenge is to identify and formulate our New Keynesian framework. As in our chapter on Fiscal-Monetary Theories of Inflation, we should do our best to shoot for a formulation with explicit primitives. The reason is not simply the coherence of such a framework but also the anticipation that our critique/insights will spring out of having explicit primitives, e.g., our recent discussion of the forward guidance puzzle and FROM WHERE all the extra consumption is coming, and as mentioned perhaps features of the Fahri-Werning NBER working paper might inspire our model formulation (minus the bounded rationality part :-)

Obviously, the framework challenge is much greater than the above RMT chapter, in which the simple introduction of a shopping time technology did the trick. One idea for the New Keynesian chapter might be to lay out a precise array of primitives, from within we can turn on and off features depending on the topic/insight to be addressed. Thus, in comparison to the above RMT chapter, there will be more of a synergetic relationship between our precise choice of primitives and our analyses. This is the complication but also the beauty of what we might be able to contribute to the understanding of New Keynesian models and their 'insights'.

I'll continue to do readings and look for the Galis, Woodfords, Simses, Sargents and Wallaces, and the likes :-) A very fun exploration and, potentially, a most valuable social contribution.

Moreover, what could be more appropriate than to pair the black cover of RMT5 with a revisit of the original black book's second chapter (after inserting 'New' into the chapter title).

Definitely, this type of material fits best into a second-year course, or maybe the second semester of first-year macro.

Thank you for the update on your discussions with Seb, and soon also with Victoria on our HLT project. I was actually tempted the other day to submit a paper proposal to CEPR's annual macro symposium ESSIM, but decided to wait until we have the goods. (While believing it is a slam dunk, it is better to be safe than sorry :-)

Have fun discussing HLT with Seb and Victoria.

Best wishes,

Lars

From: Thomas J Sargent <thomas.sargent@nyu.edu>
Sent: den 9 januari 2019 07:35
To: Lars Ljungqvist <Lars.Ljungqvist@hhs.se>
Subject: RMT5

Dear Lars,

HI. I continue to work on RMT5 slowly and steadily. I'll be adding some material to existing chapters in the coming weeks in Singapore.

Is a chapter on New Keynesian models still on the agenda for RMT5? If so, we should build the occasion to teach that chapter into our NYU classes. Two possibilities: (1) it could be for two weeks at the end of your section of NYU PhD macro; (2) it could be two weeks of my second year class. We would want to convey some insights and concise presentations not present yet in existing textbook presentations.

It is a privilege to be able to teach the material in RMT5.

Tom